Dr. Reddy's Laboratories

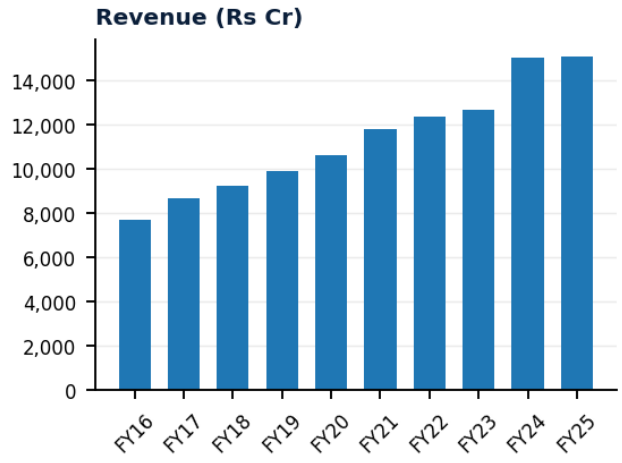
DRREDDY

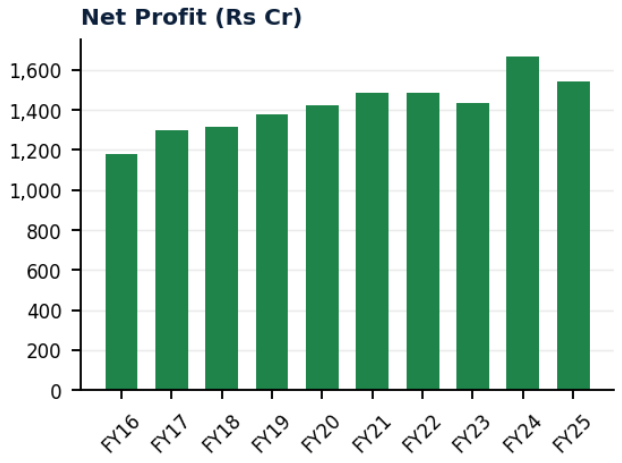
Sector: Pharma

Key performance indicators (FY2025)

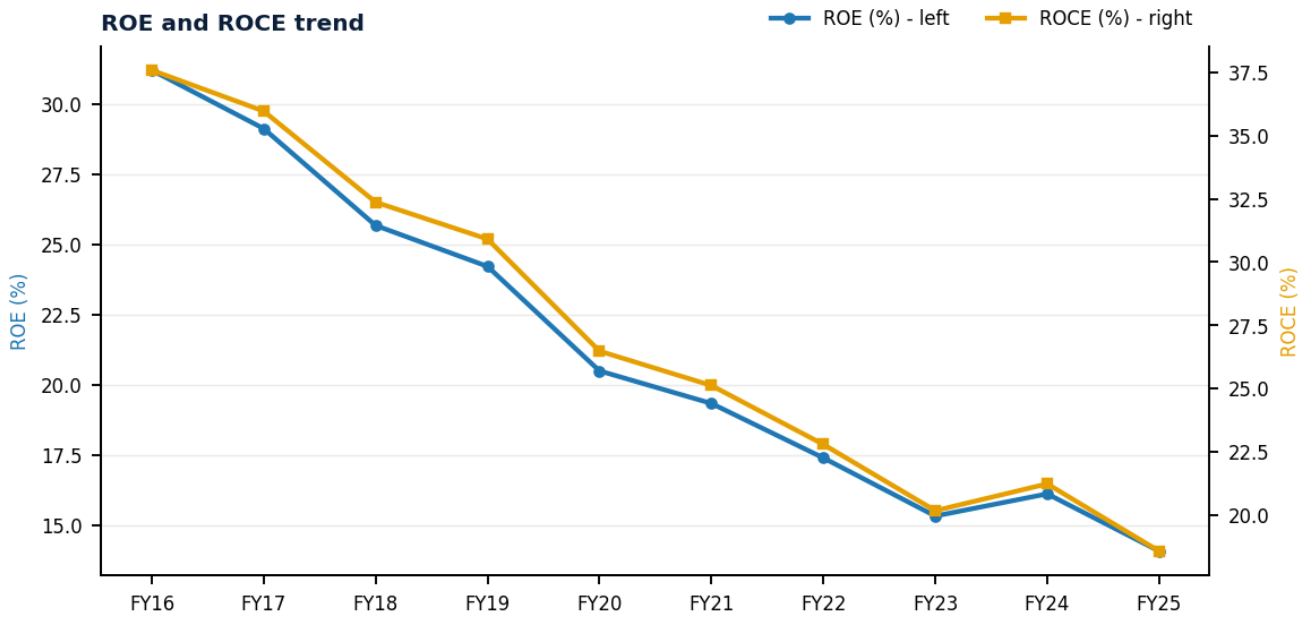
Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
15,103	1,544	15.6%
ROE (%)	**ROCE (%)**	**Debt / Equity (x)**
14.1%	18.6%	0.02x

10-year Revenue and Net Profit

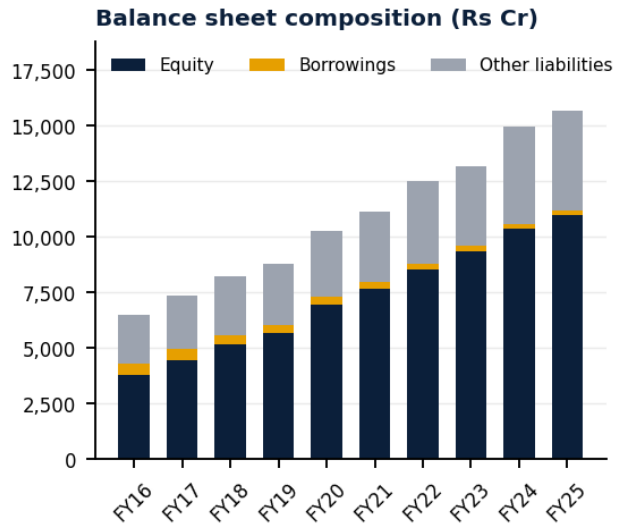


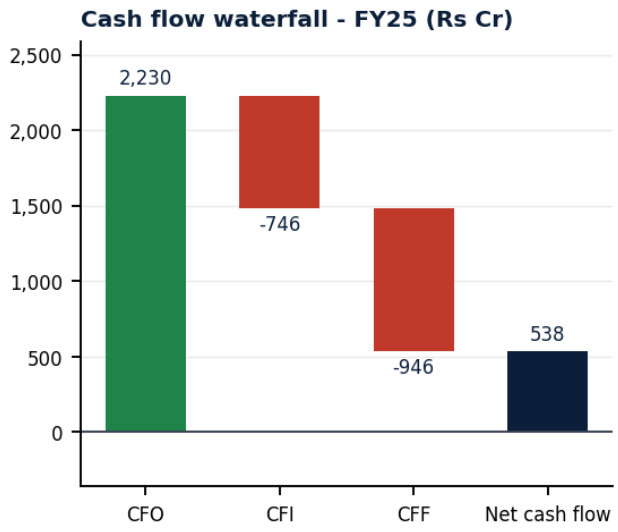


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (78%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (72%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.30)	**Moderate (4.9%)**	**No**	**Yes - repaying debt**